

CHAPTER ONE

1. FUNDAMENTALS OF MANAGEMENT

1.1. Chapter Objectives

After completing this chapter you will be able to:

- ✓ define the term management from different perspectives;
- ✓ understand and explain the principles and features of management;
- ✓ know the main sources of modern management;
- ✓ identify levels of management and types of managers;
- ✓ identify managerial roles;
- ✓ Determine the challenges and solutions of management.

1.2. Definition Of Management

Mary Parker Follett (1868–1933) defined management as "the art of getting things done through people".

One can also think of management functionally, as the action of measuring a quantity on a regular basis and of adjusting some initial plan; or as the actions taken to reach one's intended goal. This applies even in situations where planning does not take place. From this perspective, Frenchman Henri Fayol considers management to consist of five functions: planning, organizing, leading, co-ordinating, and controlling. Some people, however, find this definition, while useful, far too narrow. The phrase "management is what managers do" occurs widely, suggesting the difficulty of defining management, the shifting nature of definitions, and the connection of managerial practices with the existence of a managerial cadre or class.

Management is also defined as the process of designing and maintaining an environment in which individuals working together in groups and accomplishing efficiently selected objectives. It is concerned with:

- Identifying the aims and objectives of an organization.
- Implementing policies by setting procedures, programs and strategies to help in the achievement of organizational aim and objectives.
- Bringing together all the various factors of production (People, money, materials, machinery, methods, and activates).
- Making the best possible use of the factors of production.
- Exercising control over the performance of the factors of production.
- Providing conditions in which the persons associate with the organization-owners, employees, customers, and the community at large-derive maximum satisfaction.

1.3. Managerial Functions

The term management can also be viewed from the following perspectives:

- I. From Functional and problem solving point of view: management is defined as a creative problem solving Process.

This creative problem solving process is accomplished through four functions of management: planning, organizing, leading and controlling. The intended result is the use of an organization's resources in a way that accomplishes its mission and objectives. These functions are described as follows at a glance.

Planning is the ongoing process of developing the business' mission and objectives and determining how they will be accomplished.

Organizing is establishing the internal organizational structure of the organization. The focus is on division, coordination, and control of tasks and the flow of information within the organization. It is in this function that managers distribute authority to job holders.

Staffing is filling and keeping filled with qualified people all positions in the business. Recruiting, hiring, training, evaluating and compensating are the specific activities included in the function.

Directing is influencing people's behavior through motivation, communication, group dynamics, leadership and discipline.

Controlling is a four-step process of establishing performance standards based on the firm's objectives, measuring and reporting actual performance, comparing the two, and taking corrective or preventive action as necessary.

II. From Human Relation perspectives: management is a social process because managerial actions are principally concerned with relations between people and development of people.

III. From decision making perspective, management means the process of coordinated decision making and controlling over the action of human beings to attain predetermined goals.

1.4. Levels Of Management and Types of Managers

Managers can be classified in two ways:

- a. By the level they held in the organization: we identify three types of managers:
 - First-line managers (First-line management)
 - Middle managers (Middle management)
 - Top level managers (Top management)
- b. By the range of organizational activities for which they are responsible (by the scope of activities managers manage)- we identify two types of managers:
 - Functional managers and
 - General manager

❖ ***Dear students, now let us see each classification one by one:***

1.4.1. By the level they held in the organization

Managers are organizational members who are responsible for the work performance of other organizational members. Managers have formal authority to use organizational resources and to make decisions. In organizations, there are typically three levels of management: top-level, middle-level, and first-level. These three main levels of managers form a hierarchy, in which they are ranked in order of importance. In most organizations, the number of managers at each level is such that the hierarchy resembles a pyramid, with many more first-level managers, fewer middle managers, and the fewest managers at the top level. Each of these management levels is described below in terms of their possible job titles and their primary responsibilities and the paths taken to hold these positions. Additionally, there are differences across the management levels as to what types of management tasks each does and the roles that they take in their jobs. Finally, there are a number of changes that are occurring in many organizations that are changing the management hierarchies in them, such as the increasing use of teams, the prevalence of outsourcing, and the flattening of organizational structures.

I. Top-level managers

Top-level managers, or top managers, are also called senior management or executives. These individuals are at the top one or two levels in an organization, and hold titles such as: Chief Executive Officer (CEO), Chief Financial Officer (CFO), Chief Operational Officer (COO), Chief Information Officer (CIO), and Chairperson of the Board, President, Vice president, and corporate head.

Often, a set of these managers will constitute the top management team, which is composed of the CEO, the COO, and other department heads. Top-level managers make decisions affecting the entirety of the firm. Top managers do not direct the day-to-day activities of the firm; rather, they set goals for the organization and direct the company to achieve them. Top managers are ultimately responsible for the performance of the organization, and often, these managers have very visible jobs.

Top managers in most organizations have a great deal of managerial experience and have moved up through the ranks of management within the company or in another firm. An exception to this is a top manager who is also an entrepreneur; such an individual may start a small company and manage it until it grows enough to support several levels of management. Many top managers possess an advanced degree, such as a Masters in Business Administration, but such a degree is not required.

Some CEOs are hired in from other top management positions in other companies. Conversely, they may be promoted from within and groomed for top management with management development activities, coaching, and mentoring. They may be tagged for promotion through succession planning, which identifies high potential managers.

II. Middle-level managers

Middle-level managers, or middle managers, are those in the levels below top managers. Middle managers' job titles include: General Manager, Plant manager, Regional manager, and Divisional manager.

Middle-level managers are responsible for carrying out the goals set by top management. They do so by setting goals for their departments and other business units. Middle managers can motivate and assist first-line managers to achieve business objectives. Middle managers may also communicate upward, by offering suggestions and feedback to top managers. Because middle managers are more involved in the day-to-day workings of a company, they may provide valuable information to top managers to help improve the organization's bottom line.

Jobs in middle management vary widely in terms of responsibility and salary. Depending on the size of the company and the number of middle-level managers in the firm, middle managers may supervise only a small group of employees, or they may manage very large groups, such as an entire business location. Middle managers may be employees who were promoted from first-level manager positions within the organization, or they may have been hired from outside the firm. Some middle managers may have aspirations to hold positions in top management in the future.

III. First-Level Managers

First-level managers are also called first-line managers or supervisors. These managers have job titles such as: Office manager, Shift supervisor, Department manager, Foreperson, Crew leader, Store manager.

First-line managers are responsible for the daily management of line workers the employees who actually produce the product or offer the service. There are first-line managers in every work unit in the organization. Although first-level managers typically do not set goals for the organization, they have a very strong influence on the company. These are the managers that most employees interact with on a daily basis, and if the managers perform poorly, employees may also perform poorly, may lack motivation, or may leave the company.

In the past, most first-line managers were employees who were promoted from line positions (such as production or clerical jobs). These employees have did not have a formal education beyond the high school level. However, many first-line managers are now graduates of a trade school, or have a two-year associates or a four-year bachelor's degree from college.

1.4.2. By the range of organizational activities:

Organizations are often described as a set of functions. A function in this sense is a collection of similar activities. For example the marketing function consists of sales, promotion, distribution and market research activities.

I. Functional managers

As the management process becomes horizontally specialized, a functional manager is responsible for only one functional area (for only one organizational activity) such as production, accounting or marketing.

II. General Manager

This oversees a complex unit such as a company, subsidiary or an independent operative division. He/ she is responsible for all the activities of the chapter s such as production, marketing and others. It is important to remember that functional and general managers alike

plan, organize, lead and control relationships over time. The difference is in the scope of activities that they oversee.

❖ **Management Levels and the four Managerial Functions**

Managers at different levels of the organization engage in different amounts of time on the four managerial functions of planning, organizing, leading, and controlling.

Planning is choosing appropriate organizational goals and the correct directions to achieve those goals. Organizing involves determining the tasks and the relationships that allow employees to work together to achieve the planned goals. Through leading, managers motivate and coordinate employees to work together to achieve organizational goals. When controlling, managers monitor and measure the degree to which the organization has reached its goals.

The degree to which top, middle, and supervisory managers perform each of these functions is presented below. Note that top managers do considerably more planning, organizing, and controlling than do managers at any other level. However, they do much less leading. Most of the leading is done by first-line managers. The amount of planning, organizing, and controlling decreases down the hierarchy of management; leading increases as you move down the hierarchy of management.



1.5. Management Roles

In addition to the broad categories of management functions, managers in different levels of the hierarchy fill different managerial roles. These roles were categorized by researcher Henry Mintzberg, and they can be grouped into three major types: decisional, interpersonal, and informational.

1.5.1. Decisional roles

Decisional roles require managers to plan strategy and utilize resources. There are four specific roles that are decisional.

- ✓ The *entrepreneur* role requires the manager to assign resources to develop innovative goods and services, or to expand a business. Most of these roles will be held by top-level managers, although middle managers may be given some ability to make such decisions.
 - ✓ The *disturbance handler* corrects unanticipated problems facing the organization from the internal or external environment. Managers at all levels may take this role. For example,
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first-line managers may correct a problem halting the assembly line or a middle level manager may attempt to address the aftermath of a store robbery. Top managers are more likely to deal with major crises, such as requiring a recall of defective products.

- ✓ The third decisional role that of *resource allocator*, involves determining which work units will get which resources. Top managers are likely to make large, overall budget decisions, while middle managers may make more specific allocations. In some organizations, supervisory managers are responsible for determine allocation of salary raises to employees.
- ✓ Finally, the *negotiator* works with others, such as suppliers, distributors, or labor unions, to reach agreements regarding products and services. First-level managers may negotiate with employees on issues of salary increases or overtime hours, or they may work with other supervisory managers when needed resources must be shared. Middle managers also negotiate with other managers and are likely to work to secure preferred prices from suppliers and distributors. Top managers negotiate on larger issues, such as labor contracts, or even on mergers and acquisitions of other companies.

1.5.2. Interpersonal roles

Interpersonal roles require managers to direct and supervise employees and the organization.

- ✓ The *figurehead* is typically a top of middle manager. This manager may communicate future organizational goals or ethical guidelines to employees at company meetings.
- ✓ A *leader* acts as an example for other employees to follow, gives commands and directions to subordinates, makes decisions, and mobilizes employee support. Managers must be leaders at all levels of the organization; often lower-level managers look to top management for this leadership example.
- ✓ In the role of *liaison*, a manger must coordinate the work of others in different work units, establish alliances between others, and work to share resources. This role is particularly critical for middle managers, who must often compete with other managers for important resources, yet must maintain successful working relationships with them for long time periods.

1.5.3. Informational roles

Informational roles are those in which managers obtain and transmit information. These roles have changed dramatically as technology has improved.

- ✓ The *monitor* evaluates the performance of others and takes corrective action to improve that performance. Monitors also watch for changes in the environment and within the company that may affect individual and organizational performance. Monitoring occurs at all levels of management, although managers at higher levels of the organization are more likely to monitor external threats to the environment than are middle or first-line managers.
 - ✓ The role of *disseminator* requires that managers inform employees of changes that affect them and the organization. They also communicate the company's vision and purpose. Managers at each level disseminate information to those below them, and much information of this nature trickles from the top down.
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- ✓ Finally, a *spokesperson* communicates with the external environment, from advertising the company's goods and services, to informing the community about the direction of the organization. The spokesperson for major announcements, such as a change in strategic direction, is likely to be a top manager. But, other, more routine information may be provided by a manager at any level of a company. For example, a middle manager may give a press release to a local newspaper, or a supervisor manager may give a presentation at a community meeting.

1.6. Managerial Skills and Their Relative Importance

Regardless of organizational level, all managers must have five critical skills: technical skill, interpersonal skill, conceptual skill, diagnostic skill, and political skill.

1.6.1. Technical skill

Technical skill involves understanding and demonstrating proficiency in a particular workplace activity. Technical skills are things such as using a computer word processing program, creating a budget, operating a piece of machinery, or preparing a presentation. The technical skills used will differ in each level of management. First-level managers may engage in the actual operations of the organization; they need to have an understanding of how production and service occur in the organization in order to direct and evaluate line employees. Additionally, first-line managers need skill in scheduling workers and preparing budgets. Middle managers use more technical skills related to planning and organizing, and top managers need to have skill to understand the complex financial workings of the organization.

1.6.2. Interpersonal skill

Interpersonal skill involves human relations, or the manager's ability to interact effectively with organizational members. Communication is a critical part of interpersonal skill, and an inability to communicate effectively can prevent career progression for managers. Managers who have excellent technical skill, but poor interpersonal skill are unlikely to succeed in their jobs. This skill is critical at all levels of management.

1.6.3. Conceptual skill

Conceptual skill is a manager's ability to see the organization as a whole, as a complete entity. It involves understanding how organizational units work together and how the organization fits into its competitive environment. Conceptual skill is crucial for top managers, whose ability to see "the big picture" can have major repercussions on the success of the business. However, conceptual skill is still necessary for middle and supervisory managers, who must use this skill to envision, for example, how work units and teams are best organized

1.6.4. Diagnostic skill

Diagnostic skill is used to investigate problems, decide on a remedy, and implement a solution. Diagnostic skill involves other skills technical, interpersonal, conceptual, and politic. For instance, to determine the root of a problem, a manager may need to speak with many organizational members or understand a variety of informational documents. The difference in

the use of diagnostic skill across the three levels of management is primarily due to the types of problems that must be addressed at each level.

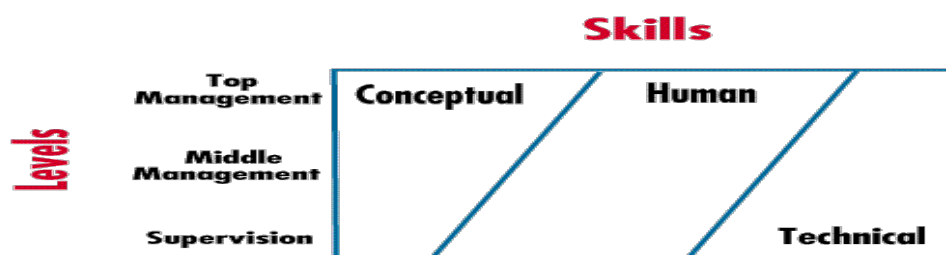
For example, first-level managers may deal primarily with issues of motivation and discipline, such as determining why a particular employee's performance is flagging and how to improve it. Middle managers are likely to deal with issues related to larger work units, such as a plant or sales office. For instance, a middle-level manager may have to diagnose why sales in a retail location have dipped. Top managers diagnose organization-wide problems, and may address issues such as strategic position, the possibility of outsourcing tasks, or opportunities for overseas expansion of a business.

1.6.5. Political skill

Political skill involves obtaining power and preventing other employees from taking away one's power. Managers use power to achieve organizational objectives, and this skill can often reach goals with less effort than others who lack political skill. Much like the other skills described, political skill cannot stand alone as a manager's skill; in particular, though, using political skill without appropriate levels of other skills can lead to promoting a manager's own career rather than reaching organizational goals. Managers at all levels require political skill; managers must avoid others taking control that they should have in their work positions. Top managers may find that they need higher levels of political skill in order to successfully operate in their environments. Interacting with competitors, suppliers, customers, shareholders, government, and the public may require political skill.

❖ *The r/ship between Management Levels and the Managerial skill*

Managers at different levels of the organization engage in different amounts of time on the some managerial skills.



Skill Distribution at Various Management Levels

1.7. The Universality of Management functions

Regardless of the title, position or management level, all managers do the same job. All managers execute the five management functions (function of planning, organizing, staffing, leading, and controlling) and work through and with others and achieve organizational objectives. Although all managers perform the same function, the various management levels require different amount of time for each function, and the points of emphasis in each function will differ.

Top management: Top-level management's job is concerned with the big picture of the organization. The planning function for top-level management consists of developing the major purpose of organization, the global objectives for organizational accomplishment, and the major policy statements for implementation by middle and first-line managers. Organizing at this level is viewed as developing the overall structure of the organization to support the accomplishment of the plans and then acquiring the resources for the firm. The staffing function at the top-level of management is concerned with policy development in the areas of equal opportunity in employment and with employee development. Top management is also concerned with acquiring talent to fill upper-management positions. The emphasis is directing on organization wide management philosophy on cultivating an organizational climate for optimal employee performance. The controlling function at this level emphasizes the overall organization performance relative to organization objectives.

Middle management: Middle-level management's primary job is to develop implementation strategies for the broad concepts determined by top-level management. For example, if the top-level managers decide 10% of profit objective, the job of the middle managers is to translate that goal into concrete goal of their own so that the desired profit can be attained. Middle managers decide on how to do it, with new products, new customers, and new territories. Organizing at the middle-level means making specific adjustments in the organization structure and allocating resources acquired by top management. Staffing focuses on the policy implementation in the areas of equal employment and employee development programs. Directing is viewed as providing leadership and support for lower level management. Controlling is concerned with monitoring the results of plans for specific products, regions, and subchapters and making the indicated adjustment to achieve organizational objectives.

First-line management: Whereas top-level management is concerned with the big picture and middle-level management with organization wide implementation, first-line management is concerned with only its immediate responsibilities. For the first-line manager, planning involves scheduling employees, deciding what work will be done first and developing procedures to achieve the goals. Organizing must consist of delegating authority or deciding that work done by one group of people should be done by another work group. Staffing at this level consists of requesting a new employee, hiring that employee, and then training the person to perform the job. Directing includes communicating and providing leadership both to the work group and employees individually. Controlling at this level focuses on having the manager's work group meet its production, sales or quality, objectives.

1.8. Is Management Science or Art?

Management is both art and science. It is the art of making people more effective than they would have been without you. It is also a science that indicates how you do that. There are four basic pillars of management these are: planning, organizing, directing, and monitoring

I. Management as a science

Science is systematic in the sense that certain relationships between variables have been ascertained; principles and their limitations have been discovered, tested and established. Facts

are determined through the use of scientific methods. Events or things are observed first, facts are established and the accuracy of these facts is verified through continuous observations. Thus mere knowledge is not science. The knowledge obtained must be verifiable. In this regard management is a field of knowledge that seeks to systematically understand why and how men work together to accomplish objectives and to make these cooperative systems more useful to making.

The scientific character of management is well supported by mathematical models of these days, but management is not an exact science like natural science. It deals with human beings; hence it is a social science. Similarly management is not a pure social science; it is scientific because managers act as scientists.

II. Management As an Art

Art is the process via which the desired results are realized through the application of skills. Management is an art in the sense that management principles are not developed for the sake of knowledge but for their application to specific situations. Decisions based on knowledge may not always be successful. Art needs the existence of science and science demands skillful application of knowledge.

Therefore, management is both science and art.
